

TradeOps Enterprise Operations Manual

Structured reference guide for Trade Operations, controls, break management and market processing

Purpose: This manual is designed as a retrieval-friendly knowledge base. Each topic explicitly defines concepts, procedures, causes, controls, and rationale so the RAG assistant can answer both factual and 'why' questions from the source.

Knowledge areas: Trade lifecycle; trade breaks; reconciliation; clearing; reference data; audit requirements; exchange traded derivatives; market deadlines; root-cause documentation; operational controls and STP.

Chapter 1: Trade Lifecycle

Definition

The trade lifecycle is the sequence of operational activities required to process a trade accurately from execution through clearing, settlement, reconciliation, and reporting.

Key activities

- Verify account mappings and client instructions.
- Validate exchange identifiers and product reference data.
- Confirm clearing broker details and applicable clearing arrangements.
- Apply settlement timelines and operational deadlines.
- Perform reconciliation and investigate exceptions.
- Complete required regulatory and operational reporting.

Why it matters

Accurate lifecycle processing reduces downstream exceptions, supports straight-through processing, and helps ensure that client, clearing, settlement, and reporting obligations are completed on time.

Chapter 2: Trade Breaks

Definition

A trade break is an exception where expected trade information or processing results do not agree across systems, records, counterparties, or operational controls.

Common causes

- Incorrect or missing account mappings.
- Incorrect exchange identifiers or product reference data.
- Client instructions that do not match expected processing requirements.
- Clearing broker or clearing instruction mismatches.
- Settlement timeline or status discrepancies.
- Upstream data quality issues.
- Downstream processing or system dependency issues.
- Reconciliation exceptions.

Investigation procedure

- Identify the exact trade and exception.
- Compare relevant upstream and downstream records.
- Verify account, exchange, product, client, clearing, and settlement information.
- Check reference data and operational queues.
- Communicate with counterparties or relevant internal teams when required.

- Determine and document the root cause.
- Apply the appropriate correction or escalation.
- Confirm that the break is resolved and required service levels are achieved.

Why investigation matters

Effective trade-break investigation prevents unresolved exceptions from propagating downstream, reduces operational risk, limits manual intervention, and improves client service.

Chapter 3: Reconciliation Controls

Definition

Reconciliation controls compare expected trade or operational information against actual records across relevant systems or sources to identify exceptions.

How controls work

- Compare records between upstream and downstream systems.
- Identify mismatched or missing trade information.
- Prioritize exceptions for investigation.
- Validate the underlying data and reference information.
- Document the investigation and resolution.
- Escalate unresolved exceptions according to operational procedures.

Why reconciliation controls are important

Reconciliation controls identify processing breaks early, support accurate trade processing, improve straight-through processing, reduce manual intervention, minimize operational risk, and enhance client satisfaction.

Chapter 4: Clearing

Definition

Clearing is an essential stage of exchange-traded processing in which trades are submitted to the appropriate clearing arrangement and obligations are established and managed.

Operational responsibilities

- Validate clearing broker details.
- Confirm that trades are routed to the appropriate clearing process.
- Monitor clearing exceptions.
- Investigate discrepancies affecting clearing status.
- Coordinate with relevant internal teams, brokers, and exchanges when required.

Why clearing matters

Accurate clearing supports timely processing, reduces failed or unresolved transactions, and ensures that exchange-traded obligations progress correctly through the operational lifecycle.

Chapter 5: Reference Data

Role of reference data

Reference data provides the identifiers and attributes required for consistent trade processing.

Examples

- Product identifiers and product attributes.
- Exchange identifiers.
- Account mappings.
- Clearing broker information.
- Settlement-related attributes.

Why reference data matters

Incorrect or incomplete reference data can cause trade-processing exceptions, reconciliation breaks, incorrect routing, and downstream operational issues. Analysts therefore validate reference data when investigating breaks.

Chapter 6: Audit Requirements

Purpose

Audit requirements ensure that operational decisions, investigations, changes, and resolutions can be traced and supported by appropriate evidence.

Operational expectations

- Maintain an appropriate record of investigations.
- Document root causes and corrective actions.
- Retain relevant evidence and processing details.
- Ensure that exceptions and escalations can be traced.
- Follow applicable internal procedures and controls.

Why audit requirements are important

Audit requirements provide traceability, support operational accountability, help demonstrate that controls were followed, and allow investigations and decisions to be reviewed after the event.

Chapter 7: Exchange Traded Derivatives

Definition

Exchange traded derivatives are standardized contracts processed through exchange, clearing, settlement, and operational control frameworks.

Operational handling

- Validate exchange and product identifiers.
- Confirm account and client mappings.
- Apply the appropriate clearing process.
- Monitor trade status and reconciliation results.
- Investigate exceptions across upstream and downstream systems.
- Observe applicable exchange and market deadlines.
- Complete required reporting and operational controls.

Why controls matter

Because exchange traded derivatives pass through multiple operational stages, accurate reference data, clearing information, reconciliation, and deadline management are necessary to prevent downstream exceptions.

Chapter 8: Market Deadlines

Definition

Market deadlines are time-sensitive cutoffs established by exchanges, clearing arrangements, settlement processes, or other market infrastructure. They define when an operational action must be completed.

Examples of deadline-sensitive activities

- Trade submission or processing.
- Clearing submission and related clearing actions.
- Settlement-related instructions.
- Physical delivery or expiry-related processing.
- Regulatory or market reporting.
- Client or exchange-required operational actions.

Why market deadlines are important

Market deadlines are important because missing a required cutoff can delay processing, create exceptions, affect clearing or settlement, increase manual intervention, and create operational or client risk. Analysts must therefore understand applicable deadlines and complete required actions within the prescribed timeframe.

Operational approach

- Identify the applicable market or exchange deadline.
- Determine which trade or operational action is deadline-sensitive.
- Validate relevant data and instructions before the cutoff.
- Escalate potential deadline breaches promptly.
- Document exceptions and their resolution.

Chapter 9: Root Cause Documentation

Definition

Root cause documentation records the underlying reason an operational exception occurred rather than only recording the immediate symptom.

What should be documented

- The trade or exception involved.
- The observed discrepancy.
- The upstream or downstream system involved.
- The relevant reference data or instruction.
- The underlying root cause.
- The corrective action taken.
- Any escalation or follow-up required.

Why documenting root causes is important

Documenting root causes creates an audit trail, supports consistent resolution, helps identify recurring problems, enables teams to address underlying causes rather than symptoms, and reduces the likelihood of repeated operational breaks.

Chapter 10: Operational Controls and STP

Definition

Operational controls are procedures and checks designed to detect, prevent, or resolve processing errors and exceptions.

Straight-through processing

Strong operational controls improve straight-through processing by reducing manual intervention and identifying data or processing problems before they propagate.

Operational benefits

- Fewer unresolved exceptions.
- Reduced manual intervention.
- Lower operational risk.
- Faster investigations.
- Improved client satisfaction.
- Better traceability and control evidence.